

agreement. Apple lost exclusive rights to its GUI, the Mac's crown jewels.

The LaserWriter, an affordable laser printer, and PageMaker, the first desktop publishing program, were launched together for the Mac platform and rescued it from the brink of extinction. The two products worked perfectly together and positioned the Mac as a top-notch computer for desktop publishing. Sales started looking upwards and the cash registers began clinking again for Apple. The Mac soon started raking in healthy profits. Apple then launched the Mac II in 1987 which carried the upward trend. It addressed every problem the original Macintosh suffered from—it had ample storage space (an 80 MB hard drive), support for up to 20 MB of RAM, allowed the installation of a graphics card, and the screen was capable of displaying up to 16.7 million colours. The major stride forward was that it was a highly expandable machine. Apple started shipping a whopping number of 50,000 Macs per month. The stock market reflected the reversal of Apple's fortunes as the share price continued to rise.

While Apple was strictly following the policy of selling an integrated solution which bound the customer to buying both the hardware and software from Apple, tens of other companies had cropped up and thousands of IBM PC clones had practically flooded the market. So when Microsoft came out with Windows 3.0 in 1990, it already had a vast base of consumers who had the hardware required to run the operating system. Apple found itself in a tight spot.

Bill Gates had suggested to Apple a long time ago that licensing the operating system would yield a tremendous turnover for the company, but Apple had always believed strongly that an integrated solution was the way to go. Now, however, more than just a few people at Apple were jerked into thinking that Bill Gates might have been right after all. But when Michael Spindler was installed as the new chief operating officer at Apple, he abolished the idea declaring that it was “too late to license” the operating system.